

City Contract No. _____

Approved as to
form only:

Date: 12/4/17

PROFESSIONAL SERVICES AGREEMENT
for
MUNICIPAL FINANCE COUNSEL SERVICES
between
THE CITY OF CHEYENNE AND KUTAK ROCK, LLP

THIS AGREEMENT is made and entered into this _____ day of _____, 2017, by and between the City of Cheyenne, located at 2101 O'Neil Avenue, Cheyenne, Wyoming 82001 ("City"), and Kutak Rock, LLP, located at 1801 California Street, Suite 3000, Denver, Colorado 80202 ("Consultant").

The Parties hereby agree as follows:

1. **SCOPE OF WORK**

The Consultant agrees to provide municipal finance counsel services as described in the attached Request for Proposals (RFP-1-18), attached hereto as Exhibit A, and in accordance with the Engagement Letter attached hereto as Exhibit B, both of which are incorporated by reference and expressly made a part hereof.

2. **TERM AND TERMINATION**

The term of this Agreement shall be for a period commencing on the date of execution, and terminating upon the issuance of all of the obligations. Either Party may terminate this Agreement at any time upon thirty days' written notice to the other.

3. **CONSULTANT RESPONSIBILITY**

In providing services under this Agreement, the Consultant shall perform in a manner consistent with that degree of care and skill ordinarily exercised by members of the same profession currently practicing under similar circumstances at the same time and in the same or similar locality. Upon notice to the Consultant and by mutual agreement between the parties, the Consultant shall, without additional compensation, correct those services not meeting such a standard.

4. **COMPLIANCE WITH LAWS**

The Parties agree that they will perform their obligations as provided in this Agreement in accordance with all applicable laws and ordinances.

5. INDEMNIFICATION/HOLD HARMLESS

The Consultant agrees to indemnify and hold harmless the City from and against any and all liabilities, claims, penalties, forfeitures and suits, and the cost and expenses incident thereto, including reasonable attorney's fees, which may hereafter arise as a result of death or bodily injury to any person, destruction or damage to any property, contamination of or adverse effects on the environment, or any violation of governmental laws, regulations or orders to the extent caused by (1) the Consultant's breach of any term or provision of this Agreement; or (2) any negligent or wrongful act, error or omission by the Consultant, or its employees or sub-consultants in the performance of this Agreement pursuant to the standards of Section 3 hereof. The Consultant acknowledges that it may incur a financial obligation to the City pursuant to the terms of this paragraph.

6. INSURANCE REQUIREMENTS

The Consultant shall provide proof of professional liability insurance, or errors and omissions liability insurance, in an amount not less than \$500,000 to protect the City from any and all claims arising from the Consultant's negligence in the performance of duties under this Agreement.

7. COMPENSATION

In consideration of the services to be performed pursuant to this Agreement, and specifically related to the Consultant's services as municipal finance counsel for the issuance of municipal obligations funding the construction of the municipal courthouse, the Consultant will bill the City and the City agrees to pay Consultant as follows:

- a. For services as municipal finance counsel, a fixed fee not to exceed thirty-five thousand dollars (\$35,000.00);
- b. Expenses not to exceed two thousand five hundred dollars (\$2,500.00), reimbursable upon presentation of a full accounting of such expenses.
- c. If the City should choose a financing structure that requires the preparation of a disclosure document, an additional fixed fee not to exceed fifteen thousand dollars (\$15,000.00) shall be paid.

Compensation shall be contingent upon a successful closing of the financing for the project(s).

Compensation for additional services requested and performed by the Consultant as municipal finance counsel will be billed at the hourly rates of the attorneys providing such services with prior authorization from the City.

8. **DEFAULT**

Each and every term and condition in this Agreement shall be deemed to be a material element of the Agreement. In the event either party should fail or refuse to perform according to the terms of this Agreement, such party may be declared in default.

9. **REMEDIES**

In the event a party has been declared in default, such defaulting party shall be allowed a period of thirty (30) days within which to cure the default. In the event the default remains uncorrected, the non-defaulting party declaring default may elect to:

- a. Terminate the Agreement and seek damages, which damages shall not exceed the contract amount; or
- b. Treat the Agreement as continuing and require specific performance.

10. **ADDITIONAL REMEDIES**

In the event the Consultant fails to perform in accordance with this Agreement, the City may elect to correct the deficiencies and charge the Consultant. In the event of default of any of the conditions by either party which shall require the party not in default to commence legal or equitable action against the defaulting party, each party shall bear its own costs and expenses, including without limitation, attorney's fees.

11. **GOVERNING LAW, JURISDICTION AND VENUE**

The construction, interpretation and enforcement of this Agreement shall be governed by the laws of the State of Wyoming. The courts of the State of Wyoming shall have jurisdiction over any action arising out of this Agreement and over the parties, and the venue shall be the First Judicial District, Laramie County, Wyoming.

12. **GOVERNMENTAL IMMUNITY**

The City of Cheyenne, along with its officials and employees, does not waive its governmental immunity by entering into this Agreement, except to the extent necessary for the parties to pursue a contract action to clarify or enforce the written terms of the Agreement. Furthermore, the City specifically retain all immunities and defenses available to it as a sovereign or governmental entity pursuant to Wyo. Stat. § 1-39-101, *et seq.*, and all other relevant state and federal law. Designations of venue, choice of law, enforcement actions, and similar provisions should not be construed as a waiver of governmental immunity. The parties agree that any ambiguity in this Agreement shall not be strictly construed, either against or for either party, except that any ambiguity as to governmental or sovereign immunity shall be construed in favor of governmental immunity.

13. ENTIRETY OF AGREEMENT

This Agreement consisting of four (4) pages, Exhibit A consisting of five (5) pages, and Exhibit B consisting of four (4) pages, constitutes the entire understanding of the parties. There are no other terms or conditions, written or oral, concerning or controlling this matter.

IN WITNESS WHEREOF, the parties have hereunto set their hands and seals the day and year first above written.

CITY OF CHEYENNE

Date

By: _____
Marian J. Orr, Mayor

(SEAL)
Attest:

Carol Intlekofer, City Clerk

KUTAK ROCK, LLP

Date

By: _____

Print Name: _____

Title: _____

Exhibit A

RFP – 1 - 18



**REQUEST FOR PROPOSALS FOR MUNICIPAL FINANCE
COUNSEL SERVICES**

Proposal Statements due:
3:00 p.m. MDT
October 20, 2017

Inquiries and Proposals should be directed to:

Purchasing Office Rm. 309
Attn: Sylvia Lee Hackl, City Attorney
2101 O'Neil Avenue
Cheyenne, WY 82001
(307) 637-6379

I. INTRODUCTION

The City of Cheyenne (City) is seeking proposals from qualified attorneys or firms to provide counsel in the area of municipal financing options in connection with services related to the recent passage of a 6th Penny sales tax ballot proposition intended to fund the construction of a new Municipal Court. The amount authorized by the ballot proposition for this project is \$9,000,000.00. A copy of the Official Election Ballot is attached to this RFP. The Municipal Court construction was authorized in Proposition 1.

II. GENERAL INFORMATION AND INSTRUCTIONS

A. Who may respond. Attorneys who are currently licensed to practice law in the State of Wyoming, or law firms including such attorneys, who have significant experience in public finance and are listed in the Bond Buyer's directory of municipal bond attorneys (the "Red Book") may respond to this RFP.

B. Public notice. Notice of the RFP will be published on October 3, 2017 and October 10, 2017.

B. Closing submission date. Proposals must be received by the City no later than October 20, 2017 at 3:00 p.m. MDT. Proposals must be delivered or mailed; fax or email submissions will not be accepted. Late submissions shall not be considered.

C. Proposal submission.

1. All proposals shall include an original clearly marked as such and four copies. The proposal shall be submitted in a sealed envelope clearly marked in the lower left-hand corner with the following information:

Request for Proposal Number

Date and Time

Sealed Proposal for Municipal Finance Counsel Services

2. All costs incurred in the preparation of any proposal shall be the responsibility of the proposer and shall not be reimbursed by the City.

3. Proposals shall be addressed as follows:

Purchasing Office, Rm 309

Attn: Sylvia Lee Hackl, City Attorney

City of Cheyenne

2101 O'Neil Avenue

Cheyenne, Wyoming 82001

4. All proposals submitted in response to this request become property of the City and thus are considered to be public records, and so may be subject to public review. The laws of Wyoming require that the contents of all proposals shall be placed in the public domain and be open to inspection by interested parties. Trade secrets or proprietary information that are recognized as such and are protected by law may be withheld if **clearly identified as such in the proposal**. Please mark in bold red letters the term "CONFIDENTIAL" on that part of the response which is confidential. The proposer may be required to submit in writing specific detailed reasons,

including any relevant legal authority, stating why material is confidential. The entire proposal cannot be designated as confidential, proprietary or a trade secret. If a request is received to examine portions designated as confidential, the City shall notify the proposer to permit the proposer to defend the confidential nature of the information.

D. Inquiries. Inquiries concerning this RFP should be emailed to:

shackl@cheyennecity.org

Please include in the subject line "Question Regarding Municipal Finance Counsel Proposal." Questions must be submitted no later than October 13, 2017. The City will not respond to verbal or telephone inquiries.

E. Bid opening; right to request additional information; right to reject.

1. The proposals will be opened at the Office of the City Attorney on October 23, 2017. However, the evaluation and selection will occur at a later time.

2. The City reserves the right to request clarification or additional information from any proposer.

3. The City reserves the right to reject any and all proposals received in response to this RFP.

4. Notification of Award. It is expected that a decision selecting the successful proposer will be made within one (1) week of the closing date for the receipt for proposals. Upon conclusion of final negotiations with the successful proposer, all proposers submitting proposals in response to this RFP will be informed in writing of the name of the successful Proposer.

III. SCOPE OF SERVICES

A. Provide legal advice and consultation relating to tax and other legal matters associated with the financing for the Municipal Court as set forth in the ballot initiative, as well as advisability of combining the financing of the Municipal Court with other ballot initiative-approved projects.

B. Provide a legal opinion(s) with respect to the authorization for and issuance of any debt obligations, questions relating to tax matters and adherence to legal requirements under federal and/or state laws and regulations. Such opinion shall include but is not limited to an opinion as to the validity of and tax-exempt status of any bonds issued to finance the project.

C. Draft and review legal documentation including all required resolutions, financing documents, closing documents and transcripts and coordinate the authorization and execution of those documents.

D. Provide ongoing legal services in matters relating to interpretation of applicable regulations, applicable statutes or pending litigation arising out of municipal finance counsel services provided in response to this RFP.

- E. Participate in the development and drafting of a disclosure statement, if necessary, to satisfy the disclosure requirements related to the project.**
- F. Participate in conference calls or meetings, as requested, relating to the issuance of bonds or notes.**
- G. Provide ongoing information to City staff regarding the activity and legal status of the financing.**
- H. Perform all required due diligence regarding the City and the financing in connection with the Municipal Courthouse project and any other ballot-initiative approved projects requiring financing through a combined or separately financed mechanism.**
- I. Perform any other functions that are typically within the scope of municipal finance counsel duties.**

IV. PROPOSAL REQUIREMENTS

Please provide a clear, concise, complete, well-organized response that demonstrates the proposer's qualifications. Brevity and quality of answers will be appreciated.

It is recommended that the proposal be organized in the format listed below.

- A. Briefly describe the firm's history and principal areas of practice.**
- B. Describe the firm's practice in the following areas:**
 - a. Public finance, particularly with regards to Wyoming governmental financing;**
 - b. Governmental bonds or borrowing;**
 - c. Compliance with applicable federal securities laws and regulations;**
 - d. Practice areas other than public finance.**
- C. Describe the knowledge and experience of the attorneys who would be assigned to the City's transaction(s), particularly the individual(s) who will be the City's primary contact(s), and include the resumes of these attorneys.**
- D. Describe comparable financings during the past five years in which the firm has served as municipal finance counsel or in a similar role. Provide contact information for five clients represented by the firm in similar roles for reference purposes.**
- E. If you have noted unique, complex, or challenging issues in connection with the proposed financing, indicate how the experience and expertise of your firm will be utilized to complete the necessary legal work.**
- F. Compensation:**
 - a. Describe your firm's proposed compensation. All fees will be contingent upon the completion of appropriate financing.**
 - b. Based on the amount of financing anticipated from the ballot initiative at issue, provide a non-binding estimate of the total approximate fees for service in this matter.**

- c. Provide your firm's proposed engagement letter, contract or retention agreement.

V. EVALUATION CRITERIA

All proposals will be evaluated to determine the firm deemed most qualified to meet the needs of the City. The evaluation criteria will include, but not be limited to, the items listed below:

- A. Demonstrated understanding and responsiveness to the Request for Proposal.
- B. Experience and expertise of firm and personnel.
- C. Experience providing municipal finance counsel services to Wyoming governmental entities.
- D. Previous client satisfaction.
- E. Proposed fees.

VI. GENERAL PROVISIONS

- A. The successful firm will be expected to enter into a professional services agreement with the City. The contents of this RFP and all provisions of the successful proposal deemed pertinent by the City may be incorporated into a contract and become legally binding. A copy of a draft professional services agreement is attached to this RFP; please note, the actual terms and conditions of the final agreement may differ.
- B. The City reserves the right to award the contract to the firm the City deems to offer the best overall proposal(s). The City is not bound to accept a proposal solely on the basis of lowest price. In addition, the City at its sole discretion, reserves the right to cancel this RFP, to modify the services sought, to reject any and all proposals, to waive any and all informalities and/or irregularities, or to re-advertise with either the identical or revised specifications, if it is deemed to be in the best interest of the City to do so. The City also reserves the right to make multiple awards, based on experience and qualifications, if it is deemed to be in the City's best interest.
- C. The City does not waive its Governmental/Sovereign Immunity, as provided by any applicable law including W.S. § 1-39-101 *et seq.*, by issuing this RFP and/or entering into any agreement with any successful proposer. Further, the City fully retains all immunities and defenses provided by law with regard to any action, whether in tort, contract or any other theory of law, based on this RFP and any agreement entered into pursuant hereto.
- D. Any errors or omissions discovered in this RFP, or any additional information needed to clarify any issues in the RFP, will be communicated to all firms who have expressed an interest in the engagement.
- E. If a proposer discovers any ambiguity, conflict, discrepancy, exclusionary specifications, omission, or other error in this RFP, the proposer shall immediately notify the issuing office. If a proposer fails to do so, the proposer shall submit a response at its own risk and under such conditions. If the proposer is awarded a contract, then such proposer shall not be entitled to additional compensation, relief, or time by reason of the error or its later correction.

Exhibit B

KUTAK ROCK LLP
SUITE 3000
1801 CALIFORNIA STREET
DENVER, COLORADO 80202-2626
303-297-2400
FACSIMILE 303-292-7799
www.kutakrock.com

Approved as to
form only:

Date: 12/19/17

CHICAGO
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SCOTTSDALE
SPOKANE
WASHINGTON, D.C.
WICHITA

November 29, 2017

City of Cheyenne
2101 O'Neil Avenue
Cheyenne, WY 82001

Re: Municipal Finance Counsel Services

Ladies and Gentlemen:

The purpose of this engagement letter is to set forth certain matters concerning the role we will serve and the responsibilities we will assume as municipal finance counsel to the City of Cheyenne, Wyoming (the "City") in connection with the proposed issuance of bonds or obligations (the "bonds") as described in the City's Request for Proposals number RFP-1-18 distributed October 2, 2017 (the "RFP").

SCOPE OF ENGAGEMENT

In this engagement, we expect to perform duties relating to the issuance of one series of bonds, as well as to provide ancillary advice following the issuance of such bonds.

In particular, and in accordance with the City's RFP and our response thereto dated October 19, 2017 (the "RFP Response"), we would expect to provide the following legal services, in accordance with our professional responsibilities as municipal finance counsel and industry standards, with respect to any such bonds:

1. Provide the City with legal advice and assistance on (a) financing structures and techniques, options and methods, including payment terms, credit enhancement and bond specifications; (b) federal and state tax matters as they relate to the City's financing; and (c) federal and state securities issues as they relate to the City's financing. If requested by the City, we can also assist in its process relative to selecting an underwriter and/or financial advisor.

2. Confer with the City's underwriters, financial advisor or other consultants, and the City Attorney, and attend meetings relating to the City's financing, including meetings with rating agencies if requested by the City.
3. Participate in and direct the development and preparation of all legal documentation necessary to complete the City's financing in accordance with the City's timetable, including any and all indentures, leases, subleases and other related documents.
4. Assist in the formation of any necessary building corporations or other entities necessary to meet state law requirement.
5. Assist the City in the development and preparation of preliminary and final official statements to assure the disclosure of all material facts within the knowledge of the attorneys or which can be ascertained through due diligence.
6. Prepare and provide a written opinion as to the legality of the proposed bond issue, including the tax exemption of the bonds, in form and substance acceptable to the marketplace in accordance with industry standards.
7. Prepare and provide any and all City resolutions, and all closing documents required to accompany delivery of the financing documents.
8. Prepare and provide the no-arbitrage certificate and related tax documents for the financing, including filing Internal Revenue Service Form 8038G and other incidental federal tax forms.
9. Arrange for, organize and direct the closing of the City's financing.
10. Prepare closing transcripts for all parties to the financing.
11. Perform all other functions customarily within the scope of the duties of bond counsel.
12. Promptly advise City officials of any legal or regulatory developments which may impact the financing.
13. Perform such other functions as shall be reasonably requested by the City.

Our bond opinion will be addressed to the City and the underwriters or direct purchaser for the issue, and will be executed and delivered by us in written form on the date the obligations are exchanged for their purchase price (the "Closing").

The bond opinion and all other legal opinions which we provide, including, if an official statement is used, a "10b-5 opinion" in our customary form in accordance with industry standards (the "Legal Opinions"), will be based on facts and law existing as of the date of the Closing. In rendering our Legal Opinions, we will rely upon the certified proceedings and other certifications of officers of the City and other public officials and other persons furnished to us without undertaking to verify the same by independent investigation. During the course of this

engagement, we will further rely on you to provide us with complete and timely information on all developments pertaining to any aspect of the bonds being issued and the security therefor. We understand that you will direct members of your staff and other employees of the City to cooperate with us in this regard.

The following duties are not included within the scope of the fee structure provided in this engagement letter, but may be available from our firm under the terms of a separate engagement or agreement with the City when and if necessary.

- (a) Pursuing test cases or other litigation.
- (b) Representing the City in Internal Revenue Service examinations or inquiries, or Securities and Exchange Commission investigations.
- (c) Preparing requests for tax rulings from the Internal Revenue Service, or no-action letters from the Securities and Exchange Commission.
- (d) The performance of rebate calculations for the bonds.
- (e) Monitoring compliance with continuing disclosure obligations for the bonds.

ATTORNEY-CLIENT RELATIONSHIP

Upon execution of this engagement letter, the City will be our client and an attorney-client relationship will exist between us. Our services as bond counsel are limited to those contracted for herein except as otherwise subsequently agreed upon in writing; the City's execution of this engagement letter will constitute an acknowledgment of those limitations.

CONFLICTS

A review of our records and database does not disclose any current conflicts of interest. If, in the course of our representation, we become aware of any potential conflicts of interest, we will so apprise you and will resolve the same in accordance with the rules of professional responsibility applicable to us.

TERM OF AGREEMENT

This engagement shall be for a period commencing on the date of acceptance of this letter, and terminating upon the issuance of all of the obligations. It may be terminated by either party for any reason at any time.

FEES

Fees for the various services described above will be determined as set forth in our RFP Response, or as otherwise agreed to in writing between us and the City.

RECORDS

At your request, papers and property furnished by you will be returned promptly. Our own files, including lawyer work product, pertaining to the operations of the City will be retained by us. For various reasons, including the minimization of unnecessary storage expenses, we reserve the right to destroy or otherwise dispose of any documents or other materials retained by us after the completion of any legal matter.

If the foregoing terms are acceptable to you, please so indicate by returning the enclosed copy of this engagement letter dated and signed by an authorized officer, retaining the original for your files. We look forward to working with you.

KUTAK ROCK LLP

By _____
Ryan T. Jardine, Partner

Accepted and Approved:

CITY OF CHEYENNE

By _____
Name: _____
Title: _____
Date: _____

Sylvia Hackl

From: Carol Intlekofer
Sent: Sunday, December 03, 2017 3:41 PM
To: Sylvia Hackl; Kris Jones
Subject: Re: Monday Finance Committee

Originals to me with your stamp; typically 10 copies to Kris for Council & her file, & copy to Holly to include in Mayor's Fin Com book.

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From: Sylvia Hackl <shackl@cheyennecity.org>
Sent: Sunday, December 3, 2017 3:35 PM
Subject: Monday Finance Committee
To: Kris Jones <kjones@cheyennecity.org>
Cc: Carol Intlekofer <cintlekofer@cheyennecity.org>

Good afternoon! One of the items on Monday's committee agenda is the consideration of a professional services agreement with Kutak Rock, to help the City with financing for the courthouse construction. I filed the agenda item with a draft contract (I know, shame on me) and now I have a slightly revised agreement and final engagement letter.

How should I handle this? Just come with copies for the Committee? Please let me know and I'll be good to go.

Thanks!

Sylvia Lee Hackl
Cheyenne City Attorney
2101 O'Neil, Rm 308
Cheyenne, WY 82001
(307) 637-6379
Fax: (307) 637.6373
shackl@cheyennecity.org

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